Nellara AgriChain

Farm to retail supply chain for Kerala produce

Seed round, July 2026

Kozhikode, Kerala

The problem

- A tomato leaves a Wayanad farm at Rs 14 and reaches a Kochi kitchen at Rs 46.
- Between them sit four intermediaries and two days without cold storage.
- Roughly a fifth of the crop never gets sold at all.
- The farmer takes the price risk. The buyer takes the quality risk. Nobody owns the middle.

What we do

- We buy directly from 34 farmer collectives on a daily indent.
- We move it on our own cold chain, four vehicles, two hubs.
- We deliver graded, weighed and invoiced produce to retailers, hotels and restaurants.
- One price, agreed the night before. No auction, no rejection at the gate.

Why it works now

- Kerala imports over 70 percent of its vegetables from Tamil Nadu and Karnataka.
- Retail chains in tier 2 Kerala have doubled outlet counts in three years.
- Collectives are already digitised through state programmes, so indenting is possible.
- Cold chain vehicle leasing has become available below Rs 60,000 a month.

Traction

- Monthly GMV Rs 1.42 crore in July 2026, up from Rs 78 lakh in February.
- 61 retail accounts and 38 hotel and restaurant outlets live.
- Repeat order rate 84 percent.
- 1,240 farmers supplying across 34 collectives.

The number that changed

- Wastage 22.1 percent in January 2026. 7.4 percent in July 2026.
- Gross margin 8.0 percent to 21.3 percent over the same period.
- Three changes did it: daily indenting, pre cooling at the Wayanad hub, and route sequencing.
- Every point of wastage is worth about Rs 1.4 lakh a month at current volume.

Unit economics

- Blended contribution Rs 9.40 per kg across the SKU mix.
- Logistics cost Rs 3.10 per kg, down from Rs 4.80.
- Contribution positive on every SKU we currently carry.
- Break even at Rs 2.6 crore monthly GMV on the current cost base.

Competition

- Traditional mandi chain: cheaper on paper, unreliable on quality and payment terms.
- National agri marketplaces: strong in Bengaluru and Chennai, thin in Kerala.
- Retail chain direct procurement: works only for their own outlets, not for restaurants.
- Our edge is the collective relationships and a cold chain sized for Kerala routes.

Use of funds

- Rs 6.0 crore, expected to last 14 months.
- Rs 2.4 crore: two more cold chain hubs, Malappuram and Thrissur.
- Rs 1.6 crore: working capital for farmer payments within 48 hours.
- Rs 1.2 crore: sales team for the Kochi and Thrissur retail corridor.
- Rs 0.8 crore: technology and reserve.

The team

- Nithin Raveendran, CEO. Seven years running Kerala category at a national agri marketplace.
- Fahad Musthafa, COO. Third generation produce trader at Palayam market.
- Reshma Pillai, Head of Cold Chain. Nine years in temperature controlled logistics.
- 18 full time, 34 on field contracts.